

Loan Repayment Policy

Last updated: January 2025

Overview

This policy explains how loan repayment works across products: how payments are scheduled and applied, the difference between principal and interest, options for extra payments and payoff, autopay, grace periods, and late fees. Product-specific terms in the individual loan policies apply where they differ.

1. Payment Schedule

1.1 Monthly Installments

Loans are repaid in equal monthly installments (amortized payments) that include both principal and interest. The installment amount is fixed for fixed-rate loans.

1.2 First Payment

The first payment is generally due 30 to 45 days after the loan is funded. The exact due date is stated in the loan agreement and the first statement.

1.3 Due Date Selection

Borrowers may select a preferred monthly due date at origination, and may change it later through the portal with at least five business days' notice before the next payment.

2. Amortization

2.1 How Amortization Works

Each payment is split between interest, calculated on the current outstanding balance, and principal, which reduces the balance. Early in the loan, a larger share goes to interest; over time, more goes to principal.

2.2 Amortization Schedule

A full amortization schedule is available in the online portal, showing the principal and interest breakdown of every scheduled payment and the remaining balance after each.

2.3 Interest Calculation Method

Interest accrues on a simple-interest, daily basis on most consumer loans. The interest portion of a payment equals the daily rate multiplied by the number of days since the last payment, multiplied by the outstanding balance. Paying earlier in the cycle reduces the interest portion.

3. Payment Application

3.1 Order Of Application

Payments are applied in the following order:

- 1 Accrued and unpaid interest
- 2 Outstanding fees (for example, late fees)
- 3 Outstanding principal

3.2 Extra Payments

Amounts paid above the scheduled payment are applied to principal by default, reducing the balance and total interest. Borrowers may instead direct an extra payment toward a future installment by specifying so at the time of payment.

3.3 Partial Payments

A payment less than the full installment due may be held in a suspense account until enough is received to make a full payment, or applied immediately depending on the product. Partial payments do not stop a payment from being reported late.

4. Payment Methods

4.1 Automatic Payments (Autopay)

Autopay debits the scheduled payment from a designated checking account each due date. Autopay reduces the risk of missed payments and typically qualifies for a 0.25% APR discount.

4.2 One-Time Online Payments

Borrowers may make one-time payments from a linked bank account through the portal at any time, including extra principal payments.

4.3 Mail And Phone

Payments may be mailed by check to the servicing address or made by phone. Phone payments using a representative may incur a convenience fee; automated phone payments are free.

5. Grace Period And Late Fees

5.1 Grace Period

Most loans include a grace period of 10 to 15 days after the due date during which a payment may be made without a late fee. The grace period does not extend the due date or stop interest from accruing.

5.2 Late Fee

A late fee applies when a payment is not received by the end of the grace period. The amount varies by product (commonly 5% of the overdue payment, subject to a stated maximum) and is disclosed in the loan agreement.

5.3 Returned Payment Fee

A returned-payment (NSF) fee of up to \$25 applies when a payment is returned unpaid by the bank. Repeated returned payments may result in removal from autopay.

6. Prepayment And Payoff

6.1 No Prepayment Penalty

Consumer loans may be prepaid in full or in part at any time without penalty. Prepaying reduces total interest because interest accrues on the outstanding balance.

6.2 Payoff Quote

A payoff quote shows the exact amount needed to satisfy the loan, including accrued interest through a specified date. Quotes are valid for 10 days and can be requested in the portal.

6.3 After Payoff

After a secured loan is paid in full, the lien is released and the title or deed is updated within the timeframe required by state law. A paid-in-full confirmation is provided.

7. Statements And Reporting

7.1 Monthly Statements

A statement is issued each cycle showing the amount due, due date, balance, interest and principal paid, and year-to-date totals. Statements are available in the portal and by mail on request.

7.2 Year-End Tax Documents

Where applicable, an annual interest statement (for example, Form 1098 for mortgage interest) is provided for tax purposes by January 31.

7.3 Credit Reporting

Payment activity is reported monthly to the credit bureaus. On-time payments build credit; payments 30 or more days past due are reported as delinquent.

8. Changes To Repayment

8.1 Hardship Arrangements

Borrowers facing temporary hardship may request a modified payment plan, deferral, or forbearance. See the Default And Collections Policy. Approved arrangements are documented in writing.

8.2 Re-Amortization

For some products, making a large lump-sum principal payment may allow the loan to be re-amortized, lowering the monthly payment over the remaining term. Eligibility and any fee are disclosed on request.

9. Contact

For repayment questions, contact loan servicing Monday through Friday 8 AM to 8 PM by phone at 1-800-555-0150, by secure message in the online portal, or by email at servicing@bankexample.com.